Points to remember

- Authorised capital is the maximum amount that can be raised as capital as is authorised by the memorandum of association
- Reserve capital is part of subscribed capital to be called up at the time of winding up of the company.
- Issue of equity shares to public through prospectus by a public company is called public issue.
- When the share capital is received through instalments, first instalment is called application money.
- When the number of shares subscribed is less than the number of shares offered, it is known as under subscription.
- When the minimum subscription stated in the prospectus has been subscribed for by the public, a company can allot shares.
- When applications are allotted in proportion of shares applied for it is called pro-rata allotment.
- The excess amount paid over the called up value of a share is known as calls in advance.
- When a shareholder fails to pay the amount due on allotment or on calls, the amount remaining unpaid is known as calls in arrears.
- When a company issues shares at a price more than the face value (nominal value), the shares are said to be issued at premium.

Self-examination questions



I Multiple choice questions

Choose the correct answer

1. A preference share is one

(i) which carries preferential right with respect to payment of dividend at fixed rate

(ii) which carries preferential right with respect to repayment of capital on winding up

(a) Only (i) is correct (b) Only (ii) is correct

(c) Both (i) and (ii) are correct (d) Both (i) and (ii) are incorrect

2. That part of share capital which can be called up only on the winding up of a company is called:

(a) Authorised capital (b) Called up capital

(c) Capital reserve (d) Reserve capital

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